Republic of the Philippines
**ENERGY REGULATORY COMMISSION**
San Miguel Avenue, Pasig City

ENERGY REGULATORY COMMISSION
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**RESOLUTION NO. 06, SERIES OF 2021**

**A RESOLUTION ADOPTING THE RUN-OF-RIVER (ROR) HYDRO AND BIOMASS FEED-IN TARIFF (FIT) RATES**

**WHEREAS**, Section 7 of Republic Act No. 9513, entitled "An Act Promoting the Development, Utilization, and Commercialization of Renewable Energy Resources and for Other Purposes", otherwise known as the RE Act of 2008, and Section 5 of its Implementing Rules and Regulations (IRR) mandate the Energy Regulatory Commission (ERC), in consultation with National Renewable Energy Board (NREB), to formulate and promulgate Feed-in Tariff System Rules (FIT Rules);

**WHEREAS**, pursuant to its mandate, the Commission, on 12 July 2010, promulgated Resolution No. 16 Series of 2010, adopting the FIT Rules. The FIT Rules was amended by Resolution No. 15, Series of 2012, promulgated on 19 November 2012;

**WHEREAS**, on 27 July 2012, the Commission approved Resolution No. 10, Series of 2012, entitled "A Resolution Approving the Feed-in Tariff (FIT) Rates," with the following details:

| | **APPROVED RATES (PhP/kWh)** | **ERC APPROVED DEGRESSION RATES** | **INSTALLATION TARGET (MW)** |
|---|---|---|---|
| HYDRO | 5.90 | 0.5% after year 2 from effectivity of FIT | 250 |
| BIOMASS | 6.63 | 0.5% after year 2 from effectivity | 250 |
| WIND | 8.53 | 0.5% after year 2 from effectivity | 200 |
| SOLAR | 9.68 | 6 % after year 1 from effectivity | 50 |

**WHEREAS,** on 24 January 2017, the Commission issued Resolution No. 01, Series of 2017, entitled "A Resolution Setting the Degressed Feed-in Tariff Rates for Run-of-River Hydro and Biomass, as provided in Section 2.11 of the Feed-in Tariff Rules (FIT Rules), with the following details:

| Technology | Degressed FIT Rates (PhP/kWh) |
|---|---|
| Run-of-River Hydro | 5.8705 |
| Biomass | 6.5969 |

**WHEREAS**, Section 7 of the FIT Rules sets the monitoring and review of the development of RE generation and the impact of FIT rates within three (3) years from implementation thereof and every two (2) years thereafter;

**WHEREAS**, the initial FIT rates (FIT1) which became effective on 01 January 2015 shall be applicable only up to 31 December 2017 with degressed rates for Calendar Year (CY) 2017;

**WHEREAS**, on 27 November 2017, the National Renewable Energy Board (NREB) sought the approval of the Department of Energy (DOE) on the extension of the period of FIT-eligibility for Biomass and ROR Hydro Power for a period of three (3) years from 31 December 2017;

**WHEREAS**, the DOE, in its Letter dated 23 February 2018, informed the Commission of its decision to extend the FIT for Biomass and Hydro for only two (2) years, or until 31 December 2019, or upon successful commissioning of the Run-of-River Hydro and Biomass Power projects covering the remaining balance of their respective installation targets, whichever comes first;

**WHEREAS**, per the information from the DOE, the total capacities for both Biomass and ROR Hydro plants, built and commissioned, or to be commissioned have not reached the installation targets of two hundred fifty (250) MW each, the details of which are as follows:

| **FIT Status as at 31 December 2017** | | | |
|---|---|---|---|
| **Type of RE Resource** | **Installation Target (MW)** | **Capacity with COE-FIT (MW)** | **Balance for Issuance of COE-FIT (MW)** |
| **Run-of-River Hydro** | 250 | 34.6 (5 projects) | 215.40 |
| **Biomass** | 250 | 136.6079 (18 projects) | 113.3921 |

**WHEREAS,** the Commission initiated a review, *motu propio*, of the Feed-in-Tariff for ROR Hydro and Biomass, consistent with Rule 21, Section 1, of the Commission's Rules of Practice and Procedure (RPP), wherein it stated that the process of adopting a new rule or amending or repealing an existing rule may be initiated by the Commission, or by interested persons upon a petition for the issuance, amendment, or repeal of any rule;

**WHEREAS**, the FIT review is likewise pursuant to Section 7 (b) of the FIT Rules, which provides that a review and re-adjustment of the FITs shall be done when the installation target per technology is not achieved within the target period;

**WHEREAS**, in a Letter dated 26 March 2018, the Commission directed NREB to submit its proposal or recommendation on the review of existing Run-of-River Hydropower (ROR Hydro) and Biomass Feed-in Tariffs, within a period of thirty (30) days from receipt of the Letter;

**WHEREAS**, on 22 August 2018, NREB filed its proposals, together with the submissions of PhilHydro Association, Inc. (PhilHydro) and Biomass Renewable Energy Alliance (BREA) on the new FIT rates for Biomass and ROR Hydro Power Projects;

**WHEREAS**, on 23 November 2018, the Commission issued an Order and a Notice of Proposed Rule-Making, docketed as ERC Case No. 2018-007RM, setting the case for public consultations on the following dates and venues:

| Date | Venue |
|---|---|
| 11 January 2019 | ERC Hearing Room, 15/F Pacific Center Building, San Miguel Avenue, Ortigas Center, Pasig City |
| 17 January 2019 | ERC Mindanao Area Operations Division (MAOD, Mintrade Bldg., Monteverde Ave. cor. Sales St. Davao City |
| 18 January 2019 | ERC Visayas Area Operations Division (VAOD), St. Mary's Drive, Banilad, Cebu City |

**WHEREAS**, the series of public consultations were conducted as scheduled;

**WHEREAS,** there were two (2) Interested Parties who submitted their comments before the deadline set by the Commission, which was on 07 January 2019, namely:

1. Cebu I Electric Cooperative, Inc. (CEBECO I); and
2. ENERVANTAGE Suppliers Co., Inc.

**WHEREAS**, after careful consideration of the evidence presented, and guided by the policy objectives found in the RE Act of 2008, the Commission deems it appropriate to approve and adopt new ROR Hydro and Biomass FIT rates;

**NOW THEREFORE**, the Commission hereby **RESOLVES**, as it is hereby **RESOLVED**, to **APPROVE** and **ADOPT**, the **RUN-OF-RIVER (ROR) HYDRO FEED-IN TARIFF of PhP5.8705/kWh** and the **BIOMASS FEED-IN TARIFF of PhP6.19/kWh,** to be applicable for the period **01 January 2018 to 31 December 2019**.

Let copies of this Resolution be furnished the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR) and all parties concerned.

Pasig City, 23 November 2020.

**AGNES VST DEVANADERA**
*Chairperson and CEO*

**ERC**
*Office of the Chairperson*
*AVSTD-2021-05-520-0003*

**ALEXIS M. LUMBATAN**
*Commissioner*

**CATHERINE P. MACEDA**
*Commissioner*

**FLORESINDA G. BALDO-DIGAL**
*Commissioner*

**MARKO ROMEO L. FUENTES**
*Commissioner*

MOS-RED: JMG/JGC/SOM

LS: BJVG/CLB/MCCG